

Week ending: 19th February 2021

Weekly Fixed Income Note

Key Highlight:

A total of KES **24.0 Billion** worth of T-bills were on offer during the week. The T-bills were oversubscribed with the **91-day, 182-day & 364-day** recording **116.86%, 114.03% & 139.01%** respectively. The CBK accepted KES **4.66B**, **10.68B** and **13.47B** respectively of the bids for the **91-day, 182-day** and **364-day** T-bills on offer.

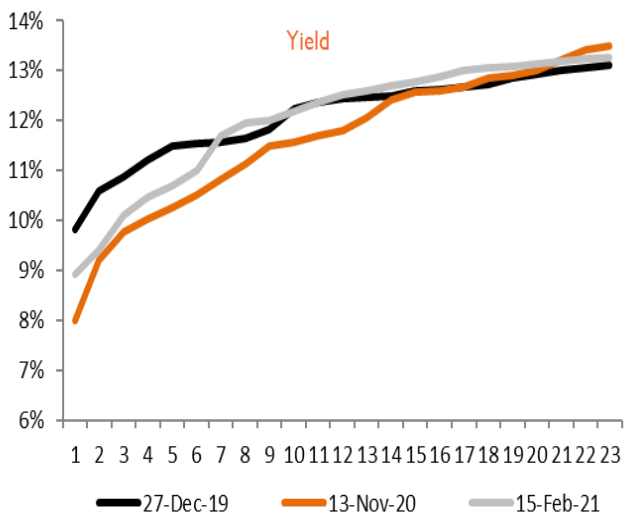
Central Bank of Kenya opened a tap sale on Fixed bonds **FXD1/2013/15** and **FXD1/2012/20** from **09/02/2021** to **17/02/2021** in a bid to raise **18Bn.** The bonds were undersubscribed with the CBK receiving **KES 11.2B** worth of bids and accepting **KES 10.9B.** The bonds likely underperformed due to an oversupply of tenors with the same maturity profile due to CBK's trend of reopening such bonds.

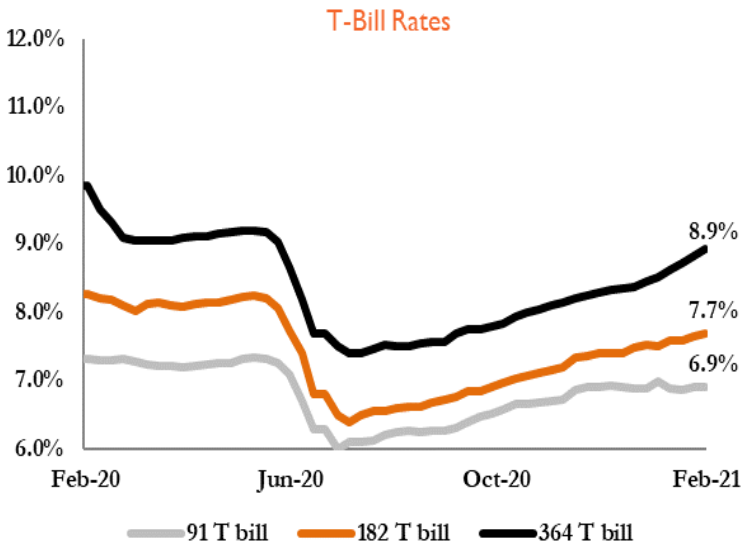
Key Indicators

	Current	Previous	% Change
91- Day	6.91%	6.91%	0.01%
182-Day	7.68%	7.64%	0.04%
364-Day	8.93%	8.82%	0.11%
Interbank Rate	4.03%	3.55%	0.48%

Macroeconomic data	Current	Previous
GDP (3Q20 vs. 3Q19)	-1.1%	5.3%
Inflation (January)	5.69%	5.62%
Private sector credit growth (December)	8.4%	7.7%
Money Supply (October)	11.50%	10.70%

Interest Rates





MACROECONOMIC NEWS

Currency

The Kenya shilling lost ground against the USD this past week depreciating by **0.10%** to stand at **109.55**.The CBK's usable forex reserves currently stands at **USD 7,605 million (4.67** months of import cover**)** as at February 18th a **0.43%** decrease from **USD 7,638 million (4.69** months of import cover**)** as at February 11th.

Inflation

In January, Headline inflation stood at **5.69%** from **5.62%** in December. The CPI increased by **0.63%** from **111.87** in December to **112.58** in January. This increase occurred on the back of a rise in prices of food which outweighed the decreases. Meanwhile, the food and alcoholic beverages index increased by **1.26%** due to the increase in prices of select food items. Headline inflation is likely to increase with the rise in food prices as food products carry a significant weighting in the inflation basket.

GDP growth

Growth receded to **-1.1%** in 3Q20 from **5.8%** in the corresponding period of 2019. The economic performance remained depressed due to Covid-19 but better compared to 2Q20. The quarterly improvement was majorly supported by growth in the agricultural sector that recorded **6.3%** growth compared to **5.0%** in 2019 and growth in construction by **16.2%** versus **6.6%** in 2019. Manufacturing, Electricity and Transportation sectors each recorded **3.2%, 4.7%** and **9.9%** growth respectively.

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